

risk of a failed trade. It may be that this stock is a leading (bullish) indicator for the industry, but why take the chance?

Stop location. Use [Table 27.7](#) to help with stop placement. Be sure to convert the potential dollar loss into a percentage of the current price. If the loss is too large, then wait for another trade with better probabilities. You don't *have* to trade this pattern.

[Table 27.11](#) shows a few special features that double bottoms share.

Bottom to bottom variation. I computed the median price difference between the two bottoms and compared the performance of patterns larger and smaller than the median. Those with large price variations outperformed.

You might think this finding goes against the Identification Guidelines where the bottoms should be close in price. Close doesn't mean exact, and it was worth checking if any difference gave an advantage. It does.

Lower bottom. Patterns with a lower right bottom performed better after the breakout than did those patterns with a lower left bottom. Who knew?

Experience

Let me tell you about what I found in my trade review.

Public Service Enterprise Group

Public Service Enterprise Group (PEG) is an electric utility. I like utility stocks because of the dividend checks they send me. In mid-2004, the stock formed an Adam & Eve double bottom that confirmed as a valid pattern. The stock broke out upward in a strong push higher and just as promptly threw back. It took its time returning to the breakout price but then gapped open below the bottom of the double bottom. However, it closed above the double bottom's low. Because it didn't *close* below either bottom, it didn't bust the upward breakout.

Less than 2 weeks later, I bought the stock. From my notebook: "AEDB [Adam & Eve double bottom] after throwback. Interest rates are set to rise tomorrow 0.25 points, so that's a negative. This looks like it has bottomed,